ECON1010 Introductory Microeconomics

Tutorial 1 | Thinking like an Economist I

Introductions

Get to Know Your Tutor

- Fourth year student studying Bachelor of Economics + Bachelor of Arts
- Studied at the London School of Economics in 2025
- UQ Economics Society (UQES)
- 2026 exchange to the University of Hong Kong
- Identical twin also at UQ

How Tutorials Will Run

- We'll work through problems and ideas together
- I will ask you to talk, explain, and ask questions, and work together
- Mistakes are part of the process; you're not expected to know everything
- Tutorial solutions released at end of each week
- **Attempt ahead of time!!**

It is my hope that our tutorials are interactive and discussion-based

Assessment

85%	7
75%	6
65%	5
50%	4
47%	3
30%	2
0%	1

CMLs (25%)

- Computer Managed Learning
- Each worth 5%
- Best 5/6 count towards final grade

CLEAR-JE (20%)

- Contextualised Learning of Economics via Authentic Reflection using Journal Entries
- Each worth 10%
- Best 2/3 count towards final grade

Final Exam (55%)

Tools and Resources

I need HELP…

1. **Ed Discussion Board** (Blackboard)
2. **Consultation** (8.00am Mon, 39-125A)
3. **Staff email** econ1010@uq.edu.au

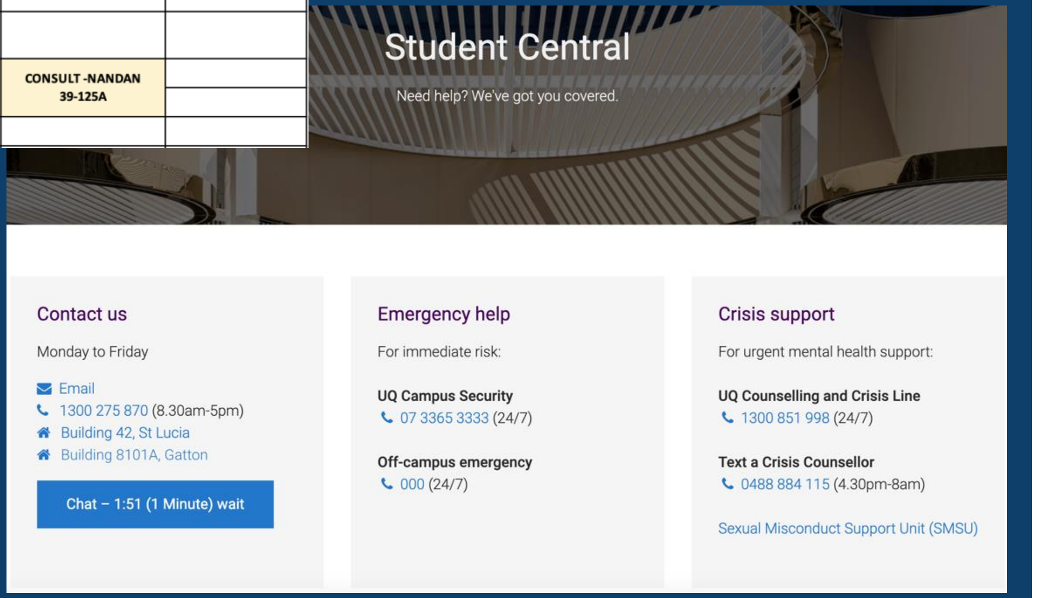
I REALLY need HELP…

- https://my.uq.edu.au/contact/student-central

ECON1010 Consult Timetable

Semester 1 2026

Time	Mon	Tue	Wed	Thu	Fri
8:00-8:30	CONSULT - SAM 39-125A				
8:30-9:00					
9:00-9:30					
9:30-10:00					
10:00-10:30				CONSULT - LUCAS 39-125A	
10:30-11:00					
11:00-11:30	CONSULT - GABE 39-125A	CONSULT - BORIS 39-125A	CONSULT - IKMAL 39-125A	CONSULT - NIK 39-125A	CONSULT - CARL 39-641
11:30-12:00					
12:00-12:30					
12:30-13:00					
13:00-13:30					LECTURE
13:30-14:00		CONSULT - DYLAN 39-125A			
14:00-14:30				CONSULT - GUANCHU 39-125A	
14:30-15:00					
15:00-15:30					
15:30-16:00					
16:00-16:30			CONSULT - KIRTAN 39-125A	CONSULT -NANDAN 39-125A	
16:30-17:00					
17:00-17:30					



Thinking like an Economist I

Question 1a

What are your thoughts on the following statements?

i) Economics is limited to market activities only, eg: buying assets, commodities or services.

ii) Economics only relates to how society should be organised according to free-market principles.

iii) Economics has very wide relevance and application in the world, but only when choice and scarcity are involved.

Discuss with your table group, choose one person to share

Question 1a

What are your thoughts on the following statements?

i) Economics is limited to market activities only, eg: buying assets, commodities or services.

Economics applies to any form of decision making. So, of course this applies to market activity decisions, but that is only one of many uses of economics.

Question 1a

What are your thoughts on the following statements?

ii) Economics only relates to how society should be organised according to free-market principles.

Economics can provide reasons for how societies can benefit from free-market conditions (no taxes, no subsidies, free immigration and importation), but it also shows the potential failures of the free market (resulting in such things as pollution and traffic congestion). Economics also analyses impacts in controlled markets (where the government intervenes on many of societies actions with strict regulation, high taxes, little financial freedom).

Question 1a

What are your thoughts on the following statements?

iii) Economics has very wide relevance and application in the world, but only when choice and scarcity are involved.

As long as we have limited resources, we're dealing with scarcity (nothing in unlimited). And since we have to best allocate our limited resources (time, money, real estate, water, electricity etc), we are dealing with choice. There isn't a situation or problem that could not be enhanced with economic analysis.

Question 1b

Using your own words, how would you explain the following terms?

i) Sunk Costs

ii) Marginal Costs/Benefits

iii) Opportunity Costs

iv) Economic surplus

Discuss with your table group, choose one person to share

Question 1b

Using your own words, how would you explain the following terms?

i) Sunk Costs

Money/time/value already spent, which cannot be recovered. They are considered irrelevant in deciding what to do next.

Example: I have bought a non-refundable flight to Tokyo. My parents ask me to fly with them on a different date. Paying for my original flight to Tokyo has already happened. So, in thinking like an economist, the non-refundable flight to Tokyo should not influence my decision to consider flying with my parents on a different date.

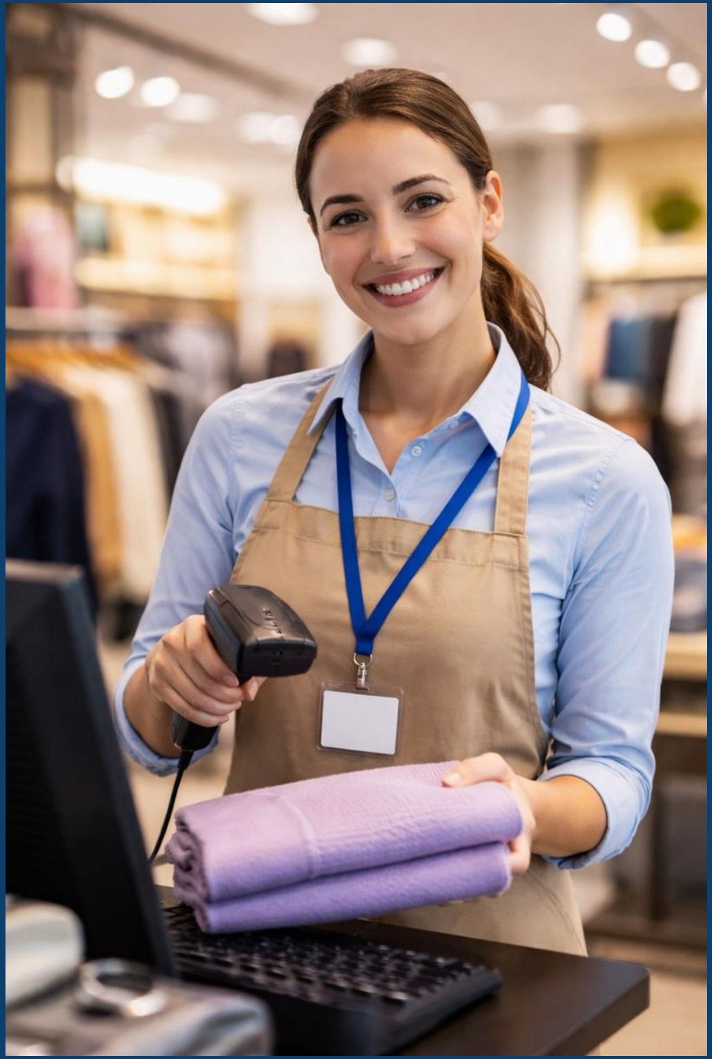
Question 1b

Using your own words, how would you explain the following terms?

ii) Marginal Costs/Benefits

The additional cost/benefit as a result of a unit increase in a particular activity.

Example: if you want your employee to work longer shifts and they have a wage of $20/hr, the marginal cost is $20 for each additional hour they work.



Question 1b

Using your own words, how would you explain the following terms?

iii) Opportunity costs

The value of the next best alternative foregone when a choice is made; the opportunity cost includes all explicit and implicit costs associated with a decision. Implicit cost is the value of the next best alternative option foregone.

Example: if I decide to work one more hour, it means I cannot go to the 7pm movies with my friends (which I value at $25 happiness) nor attend dinner at 7pm with my family (which I value at $20 happiness). So, my opportunity cost is at least $25 as the 7pm movie was the next best alternative option foregone (missed out on).

Question 1b

Using your own words, how would you explain the following terms?

iv) Economic surplus

The economic surplus is calculated by finding the difference between the total benefits and total costs of making a decision, which importantly, includes opportunity cost.

Question 2a

Jane recently purchased a computer for $2,000. Today, however, she realised that she should have bought a different computer that is twice as fast for $1,600.

i) What is Jane's sunk cost in considering whether or not to buy the faster computer?

ii) If Jane can gain $1,000 extra benefit from the faster computer, should she buy it?

iii) Reconsider ii) – Jane can now sell her current computer for $1,100 on either eBay or Gumtree to offset the cost of buying a new, faster computer for $1,600. Is it now worth Jane buying a new faster computer? What is her economic surplus?

Discuss with your table group, choose one person to share

Question 2a

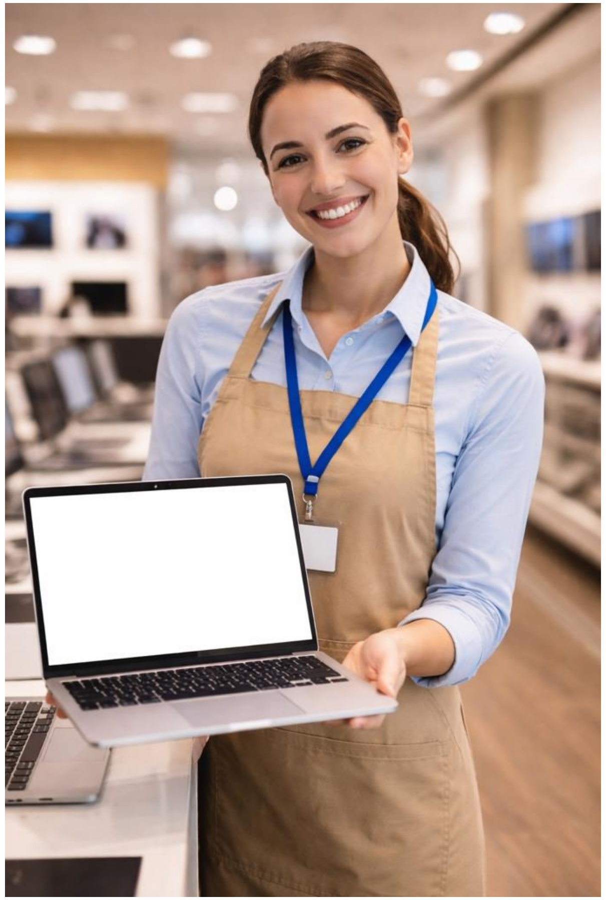
Jane recently purchased a computer for $2,000. Today, however, she realised that she should have bought a different computer that is twice as fast for $1,600.

i) What is Jane's sunk cost in considering whether or not to buy the faster computer?

The sunk cost is $2,000 as Jane has already spent this money and it is not recoverable.

ii) If Jane can gain $1,000 extra benefit from the faster computer, should she buy it?

As the new computer costs $1,600 and she will only gain $1,000 extra benefit, the incremental benefit ($1,000) is smaller than the incremental cost ($1,600). So, Jane should not buy the faster computer.



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iii) Reconsider ii). Jane can now sell her current computer for $1,100 on either eBay or Gumtree to offset the costs of buying a new, faster computer for $1,600. Is it now worth Jane buying a new faster computer? What is her economic surplus?

Purchasing the new computer will give Jane $1,000 extra benefit plus $1,100 cash from selling her previous computer = $2,100 benefit. The benefit outweighs the explicit cost of $1,600. There is no indication in the question of any opportunity (implicit) cost. Note that $1,100 of the original sunk cost of $2,000 has been recovered by the sale of the old computer. This shows that sometimes, part of the sunk cost might be recoverable.

Therefore, she should buy it. The economic surplus is $2100 - $1600 - $0 opportunity cost = $500

Question 2b

b) To earn money in the summer, you grow tomatoes and sell them at the farmers' market for **$3 per kilogram**. By adding compost to your garden, you can increase your yield as shown in the table below. **Compost costs $5 per bag**. Fill out the following marginal analysis table.

Compost (bags)	**Tomatoes Produced** (kg)	**Total Cost** (money spend on compost, $)	**Marginal Cost** (money spent for extra bag of compost, $/bag)	**Total Benefit** (revenue from selling tomatoes, $)	**Marginal Benefit** (revenue revenue from extra bag of compost, $)
0	100				
1	120				
2	125				
3	128				
4	130				
5	131				

**Your goal is to make as much profit as possible. What is the optimal number of bags of compost to use (Hint: compare marginal benefits to marginal costs).*

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**Your goal is to make as much profit as possible. What is the optimal number of bags of compost to use (Hint: compare marginal benefits to marginal costs).*

Question 2b

b) To earn money in the summer, you grow tomatoes and sell them at the farmers' market for **$3 per kilogram**. By adding compost to your garden, you can increase your yield as shown in the table below. **Compost costs $5 per bag**. Fill out the following marginal analysis table.

Compost (bags)	**Tomatoes Produced** (kg)	**Total Cost** (money spend on compost, $)	**Marginal Cost** (money spent for extra bag of compost, $/bag)	**Total Benefit** (revenue from selling tomatoes, $)	**Marginal Benefit** (revenue revenue from extra bag of compost, $)
0	100	0	-	300	-
1	120	5	5	360	60
2	125	10	5	375	15
3	128	15	5	384	9
4	130	20	5	390	6
5	131	25	5	393	

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**Your goal is to make as much profit as possible. What is the optimal number of bags of compost to use (Hint: compare marginal benefits to marginal costs).*

Question 2b

We need to compare MC and MB (in this case, marginal revenue = MR). MC is constant at $5 per additional bag of compost used. MB (or MR) changes with the addition of each bag of compost.

Note that when we use the 4th bag of compost, the MB = $6 (or MR) and is larger than the MC = $5. When we use the fifth bag, the MB = $3 and this is less than the MC = $5.

Hence, there is no situation in this example where MB = MC.

So the number of bags of compost to maximise profit will occur where the MB is closest to the MC. Therefore, 4 bags of compost should be chosen. More formally, the cost-benefit principle suggests that you should add 4 bags of compost and no more.

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Question 3

Work through a) and b) below to:

- *develop your own marginal analysis with a friend(s) or in a small group,*
- *exchange contact details with your friends to help each other work through your online computer managed learning (CML) assessment quizzes during the semester.*

a) With your friend(s), choose one of the following situations: How many hours to spend studying today? How many trips to the beach this week? How many kilometres to run this afternoon?

Answer the following questions:

- What are the opportunity costs of choosing this activity?
- What are the (hypothetical) sunk costs of choosing this activity?
- What are the marginal costs for one more hour/trip/km (if not monetary costs, convert tiredness or stress into $ amounts)?
- What are the marginal benefits for one more hour/trip/km (if not monetary, convert happiness into a $ amount)?
- Considering the marginal costs and benefits, what is the optimal amount of your chosen activity?

b) What difficult scenario will you face this week that could benefit from a marginal analysis?

Thank You

Next week: Thinking like an Economist II

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